



SPONSOR: Rep. K. Williams & Sen. Walsh & Sen. Seigfried

HOUSE OF REPRESENTATIVES
153rd GENERAL ASSEMBLY

HOUSE BILL NO. 243

AN ACT TO AMEND TITLE 14 OF THE DELAWARE CODE RELATING TO SCHOOL TAXES.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF DELAWARE:

1 Section 1. Amend § 1913, Title 14 of the Delaware Code by making deletions as shown by strike through and
2 insertions as shown by underline as follows:

3 § 1913. Rate of tax.

4 (a) (1) If the additional tax was authorized on the basis of amount of tax to be collected, the school board shall,
5 upon the completion of the assessment, fix the ~~rate tax rate, or the tax rate for each class of property,~~ sufficient to raise the
6 amount determined to be raised at that time with an addition of up to 10 percent % added thereto for delinquencies and
7 costs of collection. If the additional tax was authorized on the basis of a specified ~~rate of taxation, tax rate, or the tax rate~~
8 for each class of property, the board ~~shall~~ may add thereto up to 10 percent % of said authorized ~~rate-tax rate, or the tax rate~~
9 for each class of property, for delinquencies and costs of collection.

10 (2) Based on updated annual assessments, the school board may adjust the tax rate, or the tax rate for each
11 class of property, if the taxes collected will not exceed the total amount authorized to be collected under § 1916A of
12 this title.

13 (b) Notwithstanding any other provision of this title to the contrary, any school district which traverses county
14 boundary lines, which has tax rates established in accordance with § 1916(c) of this title, and which subsequently receives
15 approval through referendum to change the limit on such tax rate, shall establish a new or changed tax rate, or the rate for
16 each class of property, including the up to 10 percent % for delinquencies and costs of collection, such that the tax ~~rate rate,~~
17 or the rate for each class of property, levied upon the full valuation of real estate will be uniform on all real estate in the
18 school district regardless of the county in which it is located. Based on updated annual assessments, the school board may
19 adjust the tax rate, or the tax rate of each class of property, so long as the taxes collected will not exceed the total amount
20 authorized to be collected under § 1916A of this title. For purposes of this subsection, the term “tax rate” shall mean the
21 total tax rate levied for all school purposes. For purposes of this subsection, the term “full valuation” shall mean the
22 assessed valuation of a real property divided by the most current assessment to sales price ratio for property within each
23 county among the following sources of such ratios:

(1) The aggregate assessment to sales price ratio for all types of real estate in that county as presented in the 1982 Taxable Property Values and Assessments survey for Delaware, United States Bureau of Census.

(2) The assessment to sales price ratio established by the Director of the Office of Management and Budget in accordance with § 1707 of this title.

(3) The county's assessment to sales ratio used in its most recent assessment.

Section 2. Amend § 1916, Title 14 of the Delaware Code by making deletions as shown by strike through and insertions as shown by underline as follows:

§ 1916. Tax collection warrant and assessment list; tax rate after general reassessment.

(a) Based on the total value of all taxable property as shown on the county assessment list and on the amount to be raised, the board of the district shall fix the rate of taxation plus 10% for delinquencies tax rate, or residential and non-residential rates, of taxation authorized under this chapter, including any additional amount authorized by the board under § 1913(a) of this title for delinquencies and costs of collection.

(b) (1) a. Whenever the qualified voters of a ~~reorganized school~~ district have approved a specific rate of taxation or specified amount of taxation under § 1903 of this title and a subsequent general reassessment of all real estate in the county changes the total assessed valuation of the ~~school~~ district, the ~~local board of education~~ school board of each such ~~local school~~ district shall calculate a new real estate tax ~~rate~~ rate, or the tax rate for each class of property, which, at its maximum, would realize no more than 10% increase in actual revenue over the revenue derived by real estate tax levied in the fiscal year immediately preceding such reassessed real estate valuation.

~~b. In the event~~ If the qualified voters of a ~~reorganized school~~ district approve a specific rate of taxation or specified amount of taxation under § 1903 of this title to be collected, and there is a reassessment effective after voter approval, but before actual revenue is derived from increased taxation resulting from such voter approval, the ~~local board of education~~ school board of each such ~~local school~~ the district shall calculate a new real estate tax ~~rate~~ rate, or the tax rate for each class of property, which, at its the maximum, would realize no more than a 10% increase in actual revenue over the revenue announced, ~~projected~~ projected, or calculated to be derived by such voter approval and prior voter approvals.

(2) ~~Any subsequent~~ After an increase in ~~rate of taxation shall be achieved only~~ the tax rate, or tax rate for each class of property, under paragraph (b)(1) of this section, the tax rate, or tax rate for each class of property, may only be increased by an election of the qualified voters in such local school the district according to the procedures in under § 1903 of this title. ~~title or other provision of law.~~

53 Section 3. Amend Chapter 19, Title 14 of the Delaware Code by making deletions as shown by strike through and
54 insertions as shown by underline as follows:

55 § 1916A. Residential and non-residential tax rates.

56 (a) A school board may set a non-residential tax rate that is different from the residential tax rate. The non-
57 residential tax rate must be at least equal to the residential tax rate and may not be more than 2 times the residential tax
58 rate.

59 (b) If a district exercises the option to set different residential and non-residential tax rates, the district must
60 use the same residential and non-residential tax rates for all taxes authorized to be collected under this chapter or
61 Chapter 21 of this title. The total amount of revenue realized through the residential and non-residential tax rates may
62 not exceed the total amount of revenue the district would be authorized by law to collect if the district were using a
63 single tax rate.

SYNOPSIS

 This Act authorizes school districts to set different tax rates for residential and non-residential property. The non-residential rate must be at least as great as the residential rate and may be no more than twice the residential rate. The school district must set both rates so that it is not realizing any more revenue than it was authorized to collect by law if it were using a single tax rate.

 This Act also makes a change to the additional amount a school board may approve to the tax rate to account for delinquencies and costs of collection. Under current law a school board is required to add 10% to its authorized tax rate for delinquencies and costs of collection. This Act allows, but does not require, a school board to add up to 10% to its tax rate for delinquencies and costs of collection.

 Technical corrections are also made to align these sections with the Delaware Legislative Drafting Manual.